

Cooperative Bank of Oromia (S. C)

Internal Audit Process



Audit Report on Enterprise Resource Planning (ERP) System and Functionality

June, 2026

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Acronyms

ERP → Enterprise Resource Planning

BCP → Business Continuity Plan

DR → Disaster Recovery

IRP → Incident Response Plan

GDPR → General Data Protection Regulation

INSA → Information Network Security Administration

IT → Information Technology

NBE → National Bank of Ethiopia

SOP → Standard Operating Procedure

SSL → Secure Sockets Layer

TLS → Transport Layer Security

EWA → Early Watch Alert

UAT → User Acceptance Testing

MITM → Man-in-the-Middle

SAP → Systems, Applications & Products

SLA → Service Level Agreement

ROI → Return on Investment

Executive summary

The audit conducted in April, 2026, presents assessment findings and recommendations for corrective action on the Enterprise Resource Planning (ERP) System and Operation managed and operated by the Core Banking and Enterprise Systems, Information Systems Directorate.

In this audit, we employed a practical approach as the methodology, which encompassed conducting a comprehensive evaluation of the Enterprise Resource Planning (ERP) System and Operation. This include assessing its security posture, operational functionality, and associated documentation. Specifically, the audit focused on controls designed to safeguard data confidentiality, integrity, and availability. To gain further insights, interviews were conducted with business process owner such as HR, store, Procurement, fixed asset and finance operators and administrators.

Based on the assessment, several significant control weaknesses were identified:

1. **Lack of Formal Project Closure and Handover:** The ERP implementation project was not formally closed with proper documentation and sign-off, resulting in unclear system ownership and accountability.
2. **Inadequate System Documentation and Role Definitions:** There is a lack of formally approved and up-to-date policies, procedures, and defined staff roles for critical ERP modules.
3. **Non-Compliance with Data Sovereignty Laws:** All employee personal data is hosted in foreign cloud jurisdictions without implementing data localization measures as required by Ethiopian law (Proclamation No. 1321/2024).
4. **Absence of ERP-Specific Incident Response and Business Continuity Plans:** The bank has no formal, documented IRP or BCP specifically for the ERP systems.
5. **Insecure Network Communications:** The SAP ERP server is not configured to use SSL/TLS encryption for network communications.
6. **Unimplemented Modules and Functionalities:** Several critical SAP ERP

modules (e.g., Performance Management, Compensation Management, SAP Ariba Supplier Rating).

7. **Expired Vendor Support:** The SAP ERP solution is not covered by an active vendor support arrangement.
8. **Dependency on External Vendors for Critical Configuration:** Internal teams lack the necessary authority and capability to perform critical system configuration changes.
9. **Insufficient Staff Training:** Key infrastructure and application teams have not received comprehensive training on ERP environment management and advanced configuration, limiting internal capabilities.
10. **Lack of Proactive System Health Monitoring:** The SAP environment lacks proactive monitoring tools (e.g., SAP EarlyWatch Alert).
11. **Incomplete ERP Integration and Inventory Management:** The ERP system does not fully support end-to-end asset and inventory request workflows, particularly below district level, and the SAP Stock (Inventory Management) module has not been consistently implemented across all operational locations.

Overall, these gaps expose the bank to significant security, operational, compliance, and financial risks, including potential data breaches, service disruptions, regulatory penalties, and loss of investment value. Immediate corrective actions are required to strengthen ERP governance, enhance security controls, and align practices with industry standards and regulatory expectations.

Introduction

An audit engagement on the Enterprise Resource Planning (ERP) supporting critical business applications was conducted from **April 18, 2026, to May 15, 2026**. The audit was performed in accordance with the Comprehensive Internal Audit Program (IAP) guidelines and the approved annual audit work plan of the process.

This report presents the findings of the ERP audit conducted at the Director Core Banking

and Enterprise Systems, Information Systems, Director of Vision Realization Office, Technologies and Digital Banking, Director of Human Resource, Director of Procurement and Supply chain, Director of Facilities and Property Administration and Director of Accounting and Treasury Banking of Cooperative Bank of Oromia S.C. The audit involved a comprehensive assessment of the SAP S/4HANA system's governance, security controls, implementation and functionality, operational management, and related documentation.

Statement of Responsibility

In line with its audit charter, the Internal Audit Process has responsibility to provide independent and objective reasonable assurance and consulting services to the management of the Bank whether governance, risk management, system of internal control, and other operation activities are carried out effectively, efficiently and in economical manner and making recommendations for improvements.

Objectives of the Audit

The audit aimed:

- To verify that ERP governance and change management practices are established and followed.
- To confirm that authentication, authorization, and access controls are effectively implemented.
- To ensure data protection and privacy requirements are met, including compliance with data sovereignty laws.
- To assess integration mechanisms between the ERP system and other critical platforms (e.g., Core Banking System).
- To evaluate the adequacy of system documentation, policies, procedures, and role definitions.
- To assess business continuity, disaster recovery, and incident response

arrangements for the ERP environment.

- To review system health monitoring, functionality and proactive maintenance practices.
- To ensure compliance with relevant internal policies, agreements, and regulatory requirements (e.g., Personal Data Protection Proclamation No. 1321/2024).

Scope of the Audit

This audit covered:

- **ERP System Platform:** SAP S/4HANA system including all implemented modules (HR, Finance, Procurement, Asset Management, Inventory, etc.).
- **Implementation & Project Governance:** Review of project documentation, closure and handover processes, and contractual obligations.
- **Security & Access Controls:** User access management, segregation of duties, authorization concepts, and authentication mechanisms.
- **Data Protection:** Handling of sensitive employee and financial data, including localization, encryption in transit (SSL/TLS), and adherence to data privacy regulations.
- **Operational Management:** System documentation, staff roles and responsibilities, training programs, and vendor support arrangements.
- **Business Continuity & Incident Response:** Availability of formal BCP/DR and IRP plans specific to the ERP environment.

Methodology

- **Document Review:** Collect and review relevant project documentation, configuration guides, architecture diagrams, service agreements, access control lists, and security policies.
- **Interviews:** Conduct structured interviews with key stakeholders from Technology, Human Resources, Finance, Procurement, and Facilities departments.
- **Observation:** Observe system functionality, operational procedures, and user practices in real-time.

- **Technical Testing:** Perform configuration reviews, control effectiveness testing, and security assessments against established standards.
- **Compliance Testing:** Map controls against specific regulatory requirements including NBE directives, INSA requirements, and Personal Data Protection Proclamation No. 1321/2024.
- **Evidence Evaluation:** Compare gathered evidence against internal policies, service agreements, and industry best practices.
- **Risk Assessment:** Assess the business impact of identified gaps and prioritize them accordingly

Detailed Findings on Enterprise Resource Planning (ERP) System and Functionality

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
1	There is no formal system handover and project closure documentation available for ERP application.	Criteria: IS Policy 10.12. Program and Projects 10.12.6. IS process shall ensure programs and projects are well documented, formally closed and lessons learned are captured and incorporated into future initiatives for improvements. 10.12.9. The Bank shall ensure that all IS projects are formally closed with proper formal sign off whether the project terminated prematurely or after completion of its planned cycle. Cause: - Lack of Adherence to Policy Impact: - Missing sign-off means accountability for	Recommendation: Establish a Formal Closure Process develop a structured project closure procedure that includes stakeholder sign-off, comprehensive handover of systems. Finalize closure with a signed handover checklist and archive all deliverables to ensure transparency, regulatory alignment. Responsible Unit Director of Core Banking and Enterprise Systems, Information Systems	Director of Human Resource <i>Response: Agreed</i> The finding is acknowledged. The ERP implementation project involved multiple stakeholders and business units (Process and sub processes). However, formal project closure documentation, including documented handover and sign-off records, was not comprehensively maintained and archived in a manner that demonstrates full

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		system ownership is unclear. - Lack of documented handover increases operational risk (e.g., system knowledge not transferred, support gaps). Risk Level: - High	- Director of Vision Realization Office, Technologies and Digital Banking - Director of Human Resource - Director of Procurement and Supply chain - Director of Facilities and Property Administration - Director of Accounting and Treasury	compliance with the Bank's IS Policy requirements. To address this gap, the Director of HR will coordinate with the Director of Core Banking and Enterprise Systems, Director of Vision Realization Office, and other relevant stakeholders to: ● Review available ERP project documents and identify missing project closure and handover records. ● Prepare and document formal business ownership and system handover acceptance where applicable to ensure compliance with the Bank's

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				IS Policy and reduce operational risks associated with system ownership and knowledge transfer.
2	The ERP application lacks officially approved and up-to-date critical documentation, including policies, procedures, and defined staff roles and responsibilities.	Criteria: IS Policy 3.10.1.1. The IS Project Management Office shall be responsible for implementing a common project management framework that is to be used by all IS project managers to deliver successful projects. Cause: - No central owner (e.g., PMO or process owners) was assigned to develop and maintain documentation post-go-live. Impact: - Inconsistent or risky operation of critical ERP modules (e.g., unauthorized transactions, lack of segregation of duties). - Inability to enforce accountability – staff do	Recommendation: The bank must develop and formally approve standardized policies, procedures, and role definitions for all high-risk modules: Store, HR, Finance, Fixed Assets, and Procurement. Responsible Unit - Director of Core Banking and Enterprise Systems, Information Systems - Director of Human Resource - Director of	Director of Human Resource <i>Response: Agreed</i> The finding is acknowledged. While the ERP system has been operationally supported through existing practices and user guidance, there are gaps in the formal documentation, approval, and periodic review of policies, procedures, and role definitions related to ERP modules. However Role based permission documents that define the

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		not have clearly defined roles or documented procedures. Risk Level: High	Procurement and Supply chain - Director of Facilities and Property Administration - Director of Accounting and Treasury	staff role exist for HR ERP modules which have been provided by HR for consultant and approved by project manager. To address the identified gaps, the Director of HR will work in collaboration with the Director of Core Banking and Enterprise Systems, and other relevant stakeholders to: - Review and document ERP-related HR business processes. - Define and formally document user roles, responsibilities, and authorization levels for HR modules.

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				Participate in the development, review, and approval of standardized ERP policies, procedures, and operating guidelines. Director of Core Banking and Enterprise Systems <i>Response: Agreed</i>
3	It was noted that all employee data, including primary and backup storage, is hosted in cloud environments located in foreign jurisdictions. No data localization measures have been implemented.	Criteria: Proclamation No. 1321 /2024 Personal Data Protection Proclamation 22. Data Sovereignty - Every data controller or data processor shall ensure the storage, on a server or data center located in Ethiopia, of personal data collected or obtained locally Cause: - The ERP implementation predates the enforcement of the data's sovereignty law,	Recommendation: The bank must immediately assess and implement a compliant data hosting solution within Ethiopia for all employee personal data (primary and backup). Responsible Unit: Director of Human Resource	Director of Human Resource <i>Response: Agreed</i> The finding is acknowledged. The Director of HR recognizes the requirement under the Personal Data Protection Proclamation No. 1321/2024 regarding data sovereignty and local

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		and no subsequent remediation was performed Impact: - Direct violation of Ethiopian law, exposing the bank to legal penalties, fines, or regulatory sanctions. Risk Level: - High	Director of Procurement and Supply chain	storage of personal data. To address the identified gap, the Director of HR, in collaboration with the Director of Core Banking and Enterprise Systems, and other relevant stakeholders, will: - Conduct a comprehensive assessment of the current employee data hosting environment and perform a gap analysis against the requirements of the Personal Data Protection Proclamation No. 1321/2024 and other applicable regulatory requirements. - Evaluate technically and commercially viable

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				local hosting and data center options within Coopbank. ● Coordinate with system vendors, service providers, and internal stakeholders to develop a migration or localization plan.
4	The current ERP system lacks full integration to support the bank's end-to-end workflow for asset and item requests and approvals. Specifically, the asset/item request, CPO generate and amortization	Criteria: Agreement: 2.3.1.11: Ability of the system to support: • Managing workflows? • Starting and stopping of internal processes Maintenance of historical data like configuration change history, workflow	Recommendation: The bank must enhance or reconfigure the ERP system to support full, end-to-end asset/item request and approval workflows, including functionality at	

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	functions does not operate below the district level.	details Impact: - This creates operational inefficiencies, increases the risk of errors or fraud, and reduces transparency and accountability in the procurement and asset management process. Cause: - Cost constraints during implementation led to scope reduction for lower-level workflows. Impact: - Operational inefficiencies – branches cannot initiate asset/item requests directly, causing delays and additional manual coordination. Risk Level: - High	branch. Responsible Unit Director of Facilities and Property Administration	
5	The bank has no formal, documented Incident	Criteria: IS Policy	Recommendation: The bank must develop,	Director of Core Banking and Enterprise

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	Response Plan (IRP) or Business Continuity Plan (BCP) specifically for its ERP systems.	10.15. Incident management 10.15.1. IS process shall develop and implement incident management procedures based on industry best practices. Cause: - - Limited coordination between IT security, business units, and the ERP team Impact: - Inability to respond effectively to ERP security incidents (e.g., data breach, ransomware, unauthorized access), increasing potential damage and recovery time. - Extended ERP downtime during a disruption (e.g., server failure, power outage, natural disaster) would halt critical finance, HR, procurement, and asset management functions. Risk Level:	formally approve, and implement a dedicated Incident Response Plan (IRP) and Business Continuity Plan (BCP) for the ERP systems. Responsible Unit - Director of Core Banking and Enterprise Systems, Information Systems - Director of Human Resource - Director of Procurement and Supply chain - Director of Facilities and Property Administration - Director of Accounting and Treasury	<i>Response: Agreed</i> The finding is acknowledged. While the Bank has implemented general operational and technology recovery mechanisms, a dedicated and formally approved Incident Response Plan (IRP) and Business Continuity Plan (BCP) specifically addressing ERP systems and associated business processes have not been fully developed, documented, and tested. To address the identified gap, the Director of HR will collaborate with the Director of Core Banking and Enterprise Systems to:

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		High		- Participate in the development and review of ERP-specific Incident Response and Business Continuity Plans. - Define critical HR business processes, recovery requirements, escalation procedures, and roles and responsibilities during ERP-related incidents. - Support the identification of critical employee data and HR functions requiring. Director of Core Banking and Enterprise Systems <i>Response: Agreed</i>
6	The server hosting the SAP	Criteria:	Recommendations:	Director of Core Banking

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	ERP system on bank's premise is not configured to use Secure Sockets Layer (SSL) / Transport Layer Security (TLS) encryption for network communications. As a result, data transmitted between users, application servers, web services, and integrated systems were not adequately protected against interception or unauthorized access while in transit.	Information System Policy 10.7.9. The Bank shall ensure that adequate protection of sensitive information is provided during transmission and transport against unauthorized access, modification, and misaddressing. Cause: - - Secure transmission controls not enforced Impact: - User sessions and transmitted data interception, tampering, and potential session hijacking. - Increase Man-in-the-Middle (MITM) Attacks Risk Level: - High	Enable HTTPS and TLS-based communication across all SAP services and web interfaces. Periodically review SSL/TLS configurations against industry best practices and security standards. Responsible Unit: Director of Core Banking and Enterprise Systems, Information Systems	and Enterprise Systems <i>Response: Rejected</i> Please send to Director Enterprise Infrastructure

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7	Several SAP ERP modules and functionalities that were included within the implemented solution scope remain unimplemented and are not currently utilized by the Bank. The identified modules include: Human Resources (HR): • Performance Management • Compensation Management • Succession Planning and Career Development • Workforce Planning SAP Ariba: • Supplier Rating Finance: • Reporting	Criteria: SERVICE PROVISION AGREEMENT • 2.4.1.4.1 The solution must handle manpower planning and budgeting (including staff planning, cost forecasting, etc.) • 2.4.1.15 Employee's Performance Management • 2.4.1.16 Career and Succession Planning • 2.4.3.1.2 Supplier Performance Rating Cause: - • The bank's failure to perform a complete contractual requirements traceability exercise during the ERP implementation, coupled with inadequate user acceptance testing (UAT) and post-implementation utilization reviews. Impact: • Reduced return on investment (ROI) from SAP ERP. • Limited automation and optimization of key	Recommendation: Conduct a business assessment of the unimplemented modules and develop a roadmap for implementation or formally de-scope them with documented justification. Responsible Unit • Director of Human Resource • Director of Procurement and Supply chain • Director of Accounting and Treasury • Director of Vision Realization Office, Technologies and Digital Banking	Director of Human Resource <i>Response: Agreed</i> The finding is acknowledged. While the Bank successfully implemented the SAP ERP platform, some functionalities initially included within the agreed solution scope, particularly within the Human Resource Management module, have not yet been fully activated and operationalized. The delayed implementation was influenced by resource constraints (Liquidity issues) that leads to delay of the project, changing business model (BSC to OKR), since all specified modules are integrated or depend on each other, specifically the performance management

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		human resource management processes. - Reduced visibility into supplier performance and effectiveness, limiting informed procurement and vendor management decisions. Risk Level: - High		module impacted the implementation and functionalities of all other stated modules. To address the identified gap, the Director of HR will collaborate with the Director of Vision Realization office, and Director of Core Banking and Enterprise Systems, to: - Conduct a comprehensive business and technical assessment of the currently unutilized SAP ERP functionalities. - Evaluate the business value, operational readiness, resource requirements, and system dependencies for each module. - Develop a phased implementation

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				roadmap for high-priority functionalities, particularly: ○ Performance Management and Workforce Planning. ● Review existing HR business processes and align them with SAP best practices to support effective utilization of the modules. Where implementation is determined to be no longer feasible or beneficial, formally document and obtain approval for de-scoping decisions, including clear business justification and impact assessment.

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
8	The Bank's SAP ERP solution is no longer covered by active vendor support, as the ERP vendor has discontinued or ceased providing support services for the implemented solution currently in use.	Criteria: SAP ERP S4 HANA Software Maintenance and License of Use Agreement - Article 9. Description Of Enterprise Support Maintenance Services - The maintenance services to be provided to the CUSTOMER by SEIDOR and SAP consist of the following: - Proactive support services - Bug fixes - Software maintenance and improvement - Provision of new versions Cause: - - Upgrade renewal was deferred due to cost Impact: - Increased risk of delayed resolution of critical SAP system issues. - Reduced access to specialized technical expertise and vendor assistance. - Increased operational disruption and	Recommendation: - Establish a formal technical support arrangement with a qualified SAP support provider or the ERP vendor according to agree service level agreements (SLAs) - Periodically review support performance against agreed service levels and business requirements. Responsible Unit - Director of Core Banking and Enterprise Systems, Information Systems - Director of Vision Realization Office, Technologies and Digital	Director of Human Resource <i>Response: Agreed</i> The finding is acknowledged. The HR recognizes that the current SAP ERP solution is operating without an active vendor support arrangement. This situation arose following the deliance of payment for support fee charge due to liquidity that leads to expiration/discontinuation of the existing support arrangement. To address the identified gap, the Director of HR will collaborate with the Director of Vision Realization office, and Director of Core Banking and Enterprise Systems to: Assess the current support status and identify gaps in

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		business continuity risks. - Greater dependency on internal resources for complex technical problems. Risk Level: - High	Banking - Director of Human Resource - Director of Procurement and Supply chain - Director of Facilities and Property Administration - Director of Accounting and Treasury	SAP ERP maintenance and technical support coverage. Ensure that future support agreements include clearly defined Service Level Agreements (SLAs), escalation procedures, and performance monitoring mechanisms. Periodically review support performance and service delivery against agreed business requirements and contractual obligations. Strengthen knowledge transfer and documentation to reduce operational dependency risks and improve system sustainability. Director of Core Banking and Enterprise Systems <i>Response: Rejected</i>

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
				It has active support from the vendor SAP and paid annual AMC
9	The SAP ERP system currently does not support local languages, including Afaan Oromo and Amharic. As a result, system interfaces, menus, reports, notifications, and user interactions are primarily available in non-local languages.	Criteria: SERVICE PROVISION AGREEMENT 2.3.2.15 Ability of the system to support Multiple Languages e.g. Amharic, Tigrigna, Afaan Oromo and English. Cause: - - The SAP version or implementation scope did not include multi-language enablement Impact: - Reduced user adoption and operational efficiency. - Increased risk of user errors and misinterpretation of information. - Higher training and support requirements. Risk Level: - Low	Recommendation: - Assess and implement local language support for critical modules, reports, and user interfaces. Responsible Unit - Director of Vision Realization Office, Technologies and Digital Banking	Director of Core Banking and Enterprise Systems <i>Response: Rejected</i> All banks' enterprise systems are in English
10	The SAP SuccessFactors	Criteria:	Recommendation:	Director of Human

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	module is configured to use an external email service (e.g., Gmail) for system notifications and communications instead of the Bank's official corporate email platform (e.g., Microsoft Outlook / enterprise email domain). This indicates that system-generated communications are routed outside the organization's-controlled email infrastructure.	SERVICE PROVISION AGREEMENT 2.3.1.7 Ability of the system to provide option to integrate with E-mail: Support e-mail integration with systems such as Microsoft's Outlook, Novell's GroupWise, and Lotus Notes etc. Specify other supported e-mail systems. Cause: - - Integration with the Bank's corporate email (Microsoft Outlook/Exchange) was not completed or failed. Impact: - Increased risk of data leakage and unauthorized disclosure of HR information. - Reduced visibility and control over system-generated communications. - Potential non-compliance with security policies. Risk Level: - Medium	- Integrate SuccessFactors with the Bank's corporate email platform and disable external email services. Responsible Unit - Director of Human Resource. - Director of Vision Realization Office, Technologies and Digital Banking	Resource. The finding is acknowledged. Some SAP SuccessFactors module is currently configured to utilize a SuccessFactor email for certain system generated notifications. This configuration was adopted during the implementation phase; however, HR has been raised the ticket to change the external email domain to Coopbank email to seidor on the share point with ticket ID of 183 and due to lack of active support vendor the ticket is not solved yet. Director of Core Banking and Enterprise Systems <i>Response: Rejected</i> Please request that the HR and Security teams address the configuration

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
				issues
11	The SAP ERP system does not provide end-to-end tracking functionality for non-fixed asset requests. As a result, users are unable to view the status of their requests within the system and instead rely on informal communication channels such as phone calls or other manual follow-ups to obtain status updates. In addition, fixed asset requests are processed manually outside the SAP ERP workflow framework, without end-to-end system automation or visibility.	Criteria: SERVICE PROVISION AGREEMENT 2.3.11.1 Ability to utilize integral workflow capabilities for routing, knowing status and be able to view the document flow with duration at each level. Cause: - - The ERP system's request status tracking feature was not enabled or customized. Impact: - Lack of visibility into request status and processing progress. - Increased processing delays and operational inefficiencies. - Weak audit trail and accountability. Risk Level: - Medium	Recommendation: - Implement automated workflow and status-tracking functionality for both fixed and non-fixed asset requests. Responsible Unit - Director of Facilities and Property Administration - Director of Vision Realization Office, Technologies and Digital Banking	Director of Core Banking and Enterprise Systems <i>Response: Rejected</i> Please request the PMO office, Obbo Magi
12	The SAP ERP system allows users with asset requesting	Criteria: SERVICE PROVISION AGREEMENT	Recommendation: Restrict asset request	

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
	privileges to submit requests on behalf of other users and across multiple cost centers. In addition, cost center information for all organizational units is broadly visible and accessible to requesting users without restriction or mandatory notification to the respective cost center owners.	2.3.18.7 Ability of the system to provide user and user group authorization administration tool to assign security levels to functions and data, and allow the access by users / by groups with valid security level only Cause: - Role design gave requesters “view all” cost center access without filtering. Impact: - Increased risk of unauthorized or inappropriate asset requests. - Weak accountability and ownership over asset acquisition transactions. - Potential misuse of cost centers and inaccurate cost allocation. - Increased risk of fraudulent or unapproved procurement activities. Risk Level: - Medium	initiation to authorized users within their assigned cost centers and implement workflow notifications and approvals for affected cost center owners. Responsible Unit - Director of Facilities and Property Administration - Director of Vision Realization Office, Technologies and Digital Banking	
13	The SAP ERP Employee Self-Service (ESS) functionality	Criteria: SERVICE PROVISION AGREEMENT	Recommendation:	Director of Human Resource

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
	does not correctly generate support documents such as talent cards/work experience letters, guarantor letters, and other employee-related certificates. The employee master data is not populated into predefined document templates correctly, resulting in an incorrect or incomplete outputs.	2.4.1.12.7 System should support workflow capability to automate routine administration. 2.4.1.9 Employee's Self-Services Cause: - - No data quality validation rules were implemented at the point of entry. Impact: - Issuance of inaccurate employee documents and certificates. - Increased manual intervention and administrative workload. - Potential reputational impact and employee dissatisfaction. - Risk of reliance on inaccurate employment information for official purposes. Risk Level: - Medium	- Review and correct document templates, data mappings, and employee master data configurations to ensure accurate generation of ESS documents. Responsible Unit - Director of Human Resource - Director of Vision Realization Office, Technologies and Digital Banking - Director of Core Banking and Enterprise Systems, Information Systems	<i>Response: Agreed</i> The finding is acknowledged. The HR recognizes that certain customized Employee Self-Service (ESS) are disrupted after system update due to incorrect data mapping configurations, and employee master data integration within the SAP ERP system. However, the HR has raised the ticket to reconfigure the field mapping properly to Seidor on the share point with ticket ID of 20 and due to lack of active support vendor the ticket is not solved yet.

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
14	The SAP ERP system does not allow internal configuration changes for certain critical business parameters, including tax rate updates, statutory deductions, and asset classification adjustments. These changes require vendor involvement, as internal IT or functional teams do not have the necessary configuration authority or capability to perform them.	Criteria: SAP ERP S4 HANA Software Maintenance and License of Use Agreement - Art. 8. Modifications And Extensions - The CUSTOMER may make Modifications and Extensions to the Software, except for the Third-party Database, as long as it is for use on the Designated Machine(s) and in accordance with this clause. Cause: - The Bank did not receive full configuration access or training from the implementation partner Impact: - Delays in implementing regulatory, tax, payroll, and business changes. - Increased dependency on external vendors for routine operational activities. - Potential non-compliance due to untimely implementation of statutory updates. - Increased operational costs and reduced system agility.	Recommendation: - Transfer appropriate configuration capabilities and knowledge to authorized internal teams while maintaining adequate change management and access controls. Responsible Unit - Director of Core Banking and Enterprise Systems, Information Systems - Director of Human Resource - Director of Procurement and Supply chain - Director of Facilities and Property	Director of Human Resource <i>Response: Agreed</i> The finding is acknowledged. HR recognise the operational risks associated with dependency on external vendors for configuration changes related to critical business parameters within the SAP ERP S/4HANA system. To address this issue, training is undertaken for relevant internal stakeholders through targeted training and knowledge transfer

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		Risk Level: High	Administration Director of Accounting and Treasury	programs. The objective is to enhance the capability of authorized internal teams to perform permissible configuration activities independently, while ensuring compliance with established change management procedures, access controls, and governance requirements. Director of Core Banking and Enterprise Systems <i>Response: Agreed</i>
15	While introductory training has been provided to application and database teams, the infrastructure team has not received formal	Criteria: SERVICE PROVISION AGREEMENT - ARTICLE 3 - SEIDOR'S OBLIGATIONS - SEIDOR undertakes to provide the resources needed to implement the project successfully	Recommendation: Develop and implement a comprehensive SAP training program covering infrastructure	Director of Core Banking and Enterprise Systems <i>Response: Agreed</i>

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
	training related to SAP ERP environment management. In addition, advanced-level training intended to enable application teams to perform advanced configuration, customization, and system optimization has not been delivered in accordance with the expected training scope or agreement.	in accordance with the Scope and Methodology established in the agreement and the Proposal as set forth in the "ANNEX TO THE SAP ERP SERVICE AGREEMENT FOR Implementation and Commissioning of a SAP S4 System". - Specifically, SEIDOR warrants that the professionals who participate in the Project will have the training, qualifications, preparation and experience required to perform the tasks defined in the Proposal and that they will have all of the necessary materials. Cause: - No knowledge transfer was conducted for advanced configuration areas. Impact: - Reduced capability to manage, optimize, and troubleshoot the SAP environment. - Increased dependency on vendors and external consultants.	administration, advanced configuration, customization, and system optimization for relevant support teams. Responsible Unit - Director of Core Banking and Enterprise Systems, Information Systems - Director of Vision Realization Office, Technologies And Digital Banking	

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
		- Higher risk of configuration errors and inefficient system administration. - Reduced return on investment from the ERP implementation. Risk Level: - High		
16	The SAP ERP environment lacks proactive system health monitoring capabilities. Specifically, SAP EarlyWatch Alert (EWA) or equivalent proactive monitoring tools are not implemented. As a result, system health insights are primarily reactive and dependent on manual checks or incident-driven detection.	Criteria: SERVICE PROVISION AGREEMENT 2.3.6.2 Ability of the system to populate notification for patches, enhancements or fixes after implementation on a proactive Basis Cause: - Lack of skilled personnel to interpret proactive monitoring data. Impact: - Potential issues may remain undetected until they cause service disruptions. - Increased risk of performance degradation and system outages.	Recommendation: - Implement SAP EarlyWatch Alert (EWA) or equivalent proactive monitoring solutions and establish regular review and remediation procedures. Responsible Unit - Director of Core Banking and Enterprise Systems	Director of Core Banking and Enterprise Systems <i>Response: Agreed</i>

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
		- Delayed identification of capacity, security, and configuration issues. - Reduced ability to proactively manage system health and availability. Risk Level: - High		
17	The SAP ERP Stock (Inventory Management) module is not uniformly implemented or utilized across all operational locations. Specifically, branches in Mekelle, Bahir Dar, and certain districts within Addis Ababa are not using the Stock module, and continue to operate outside the centralized ERP inventory management process.	Criteria: SERVICE PROVISION AGREEMENT 2.4.3.2 Warehouse Management & Inventory control 2.4.3.2.1. 8 The System should allow the users to send their request online and take the items physically; if they have approved budget (for capital Item). Cause: - - Technical limitations (e.g., network bandwidth, hardware) prevented SAP access at those locations Impact: - Lack of centralized visibility over inventory	Recommendation: - Complete the rollout of the SAP Stock module to all locations and enforce standardized inventory management processes across the organization. Responsible Unit - Director of Facilities and Property Administration - Director of Vision Realization Office,	Director of Core Banking and Enterprise Systems <i>Response: Rejected</i> This management decision for license purchases

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
		balances and movements. - Increased risk of inventory inaccuracies and reconciliation issues. - Inconsistent inventory management practices across operational locations. - Reduced effectiveness of ERP controls and reporting. Risk Level: - Medium	Technologies and Digital Banking	
18	There is no real-time synchronization between the SAP Asset Accounting module and the Core Banking System (CBS) for the posting and balancing of credit and debit transactions. Instead, data synchronization is performed through an intermediary interface tool that requires manual execution by an	Criteria: SERVICE PROVISION AGREEMENT 2.3.7.2 Ability of the system to support real time updates or interfaces with software from other vendors or in-house developed systems Cause: - - Security concerns prevented automated real-time transaction pushes. Impact: - Risk of delayed, missed, or incomplete transaction transfers.	Recommendation: - Implement automated real-time or near-real-time integration between SAP and the Core Banking System with monitoring and reconciliation controls. Responsible Unit - Director of Accounting	Director of Core Banking and Enterprise Systems <i>Response: Rejected</i> For performance issues, we are pushing at night

No.	Detail Findings	Criteria, Cause, Impact, Risk Level & Recommendation	Recommendations	Auditee Response
	employee on a daily basis (typically at night) to push transactions from SAP to CBS.	- Potential inconsistencies between SAP and Core Banking records. - Dependency on manual intervention for critical financial processes. Risk Level: - Medium	and Treasury Director of Vision Realization Office, Technologies and Digital Banking	

Conclusion

The audit, conducted in April 2026, assessed the Enterprise Resource Planning (ERP) System and Operation managed by Director Core Banking and Enterprise Systems, Information Systems, Director of Vision Realization Office, Technologies and Digital Banking, Director of Human Resource, Director of Procurement and Supply chain, Director of Facilities and Property Administration and Director of Accounting and Treasury Banking of Cooperative Bank of Oromia S.C.

We employed a practical methodology that included a comprehensive evaluation of the ERP system's security posture, operational functionality, and related documentation, with a focus on controls ensuring data confidentiality, integrity, and availability. To gather in-depth insights, we conducted structured interviews with key business process owners and administrators from HR, Store, Procurement, Fixed Asset, and Finance departments.

Auditors Name:

1. Gemechu Keneni _____
2. Workineh Negasa _____